

complaint

Miss G has complained that she was mis-informed by Swinton Group Ltd about her buildings insurance policy and over-charged.

background

In April 2015 Miss G contacted Swinton for a policy for an unoccupied property. Swinton gave her a quote which she accepted. Miss G insured the property for six months originally and then on a three monthly basis.

After several renewals Swinton told Miss G that it wouldn't be able to renew the policy in January 2017 unless she renewed for 12 months. It directed Miss G to a brokers' association. Miss G was then able to get an annual policy for much less from another insurer.

Miss G complained to Swinton that:

- She'd been told that she could only get unoccupied buildings cover through Swinton;
- Swinton had misled her over the cost of her premiums as it had charged her over £1,200 a year whereas she now pays £170 a year for a policy from another provider.

In response Swinton said:

- It hadn't found any evidence that it had told Miss G unoccupied building cover was only available through it;
- It had provided her with the best price based on her circumstances from its panel of insurers. She'd had a 14 day cooling off period to review whether the policy was right for her;
- It could only advise her of its prices, not those of other providers in the market. She could have shopped around in the cooling-off period.

Miss G brought her complaint to this service. Our investigator didn't uphold it. She didn't think there was any evidence that Swinton had done anything wrong.

As Miss G didn't agree, the matter has been referred to me.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Unfortunately it's not clear what was discussed when Miss G first contacted Swinton by phone. Miss G came away with the distinct impression that she could only get unoccupied buildings cover from Swinton. I need to decide whether it's Swinton's fault that this misunderstanding arose. Where there's little evidence to support the parties' positions, as is the case here, I reach my decision on the basis of what I think is most likely to have happened in the circumstances.

I don't doubt that Miss G is a person well used to managing business matters, and in particular taking out insurance, in a competent manner. But all of us can make mistakes and mishear what we're being told, especially on the phone. I think it's more likely that Swinton

didn't say it was the only provider of unoccupied buildings cover – a quick check online or to another broker could have easily proved this wasn't correct. I think it would have just said that it only had one insurer on its panel offering this product.

In agreeing to offer unoccupied property cover to Miss G for a six or three month period, Swinton gave details of the premium. This was the cost of not just the risk the property presented but included a profit element too. Commercial entities such as Swinton are in business to provide a service but also to make money. And there's nothing wrong with that. If they're not profitable they're unlikely to remain in business. Swinton has provided detailed evidence to show how it calculated Miss G's premiums. I can't share this information with Miss G but I've checked the figures and I'm satisfied her premium was calculated accurately and fairly. Compared with an annual policy short term policies generate far more work and administration for the insurer and broker. So this is usually reflected in the premium.

I also need to consider whether Swinton treated Miss G fairly and gave her sufficient information about the price such that she could make an informed decision. Swinton gave Miss G notice of the premium in advance of each renewal and she could have taken advantage of the 14 day cooling-off period to shop around for alternative cover if she'd wanted. I accept that there's nothing to show Swinton ever told Miss G that a one year policy would have been much cheaper. But on each renewal Miss G chose the renewal period and so she could have asked for a quote for an annual policy if she'd wanted.

However, even if Swinton had explained that an annual policy would be better value, I'm not persuaded that Miss G would have acted differently. That's because on each renewal she was hoping to sell the property before the policy next expired. Miss G was already aware that a six month policy was better value on a daily basis than a three month one. Even when Swinton told her it was no longer offering short term policies, she still chose to go elsewhere and look for a provider who could offer a short term policy rather than take out a 12 month policy through Swinton.

my final decision

For the reasons explained above, I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss G to accept or reject my decision before 7 September 2019.

Elizabeth Grant
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